

The Current Thesis on Gold

The revision, the global bond rout, and what the Treasury just told you about fiscal stress.



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In my last gold post, published June 22, I built the structural case on a specific number: 244 tonnes of central bank buying in Q1 2026. I called it “the fastest quarterly pace in over a year.” I used it to show that the structural buyer was accumulating through a 28% drawdown while the financial layer sold.

The World Gold Council has since revised that number to 57 tonnes.

That is not a rounding error. It is a 77% downward revision to the data point I weighted the most. And I want to start here, not because I enjoy correcting myself in public, but because the whole point of pre-registering break conditions is that you check them when the data comes in. Not only when it flatters you.

What Happened to Q1

The initial 244-tonne estimate relied on a combination of reported central bank purchases and a statistical residual, the gap between identified supply and demand that the WGC attributes to unreported official-sector buying. That residual turned out to be significantly overstated.

The country-level data explains why. Turkey’s central bank, a steady buyer for years, was the largest seller in Q1 after deploying roughly 60

tonnes of gold to defend the lira during the Iran conflict, a combination of outright sales and swap transactions. Its outstanding swap position, which had peaked above 80 tonnes, was reduced to around 60 tonnes by mid-year. Azerbaijan was also a notable seller. When these swap-related flows were properly categorized in the revised data, the headline number collapsed.

I sat with this for a while. When the data point you anchored a public thesis to gets revised down by 77%, the instinct is to find a way to reframe it. The instinct worth listening to is to figure out what it actually means.

What it means is something I said in the last post but hadn't fully internalized: **central bank gold data is structurally opaque**. The initial estimates are always partly modeled, not fully observed. The WGC itself footnotes this: "New data and analysis led to a sizable revision to our Q1 central bank demand estimate from 244t to 57t." If a single quarter can swing by 187 tonnes on a data revision, the precision of any individual quarter matters less than the multi-year trend.

The trend hasn't changed. But while I was checking whether the structural case survived the revision, I found something that wasn't in the original post: a connection between the gold buying and what's happening in sovereign bond markets and the federal budget, one that makes the structural case harder to break, not easier. That's the thread running through everything below.

What Q2 Actually Showed

Central banks bought 289 tonnes in Q2, a fivefold increase on the revised Q1 figure and a record for any second quarter in the WGC's data series.

The buying was broad. **Poland added 51 tonnes in Q2 alone**, bringing its YTD total to 82 tonnes and its reserves to 632 tonnes, edging toward the 700-tonne target Warsaw has been telegraphing for over a year now. China's PBoC added another 33 tonnes, lifting holdings to 2,346 tonnes. Behind them, several more countries bought in Q2: Uzbekistan, Kazakhstan, Jordan, the Czech Republic, Ghana, Singapore, and the UAE.

On the sell side, Turkey's Q2 disposal was only 4 tonnes, essentially a rounding error, down from the large Q1 unwind that drove the revision. Russia was the largest seller at 22 tonnes, and Russia selling gold is a geopolitical story about sanctions and fiscal pressure, not a signal about reserve diversification strategy.

Unreported buying was again elevated in Q2. The WGC noted it "continued to be a notable feature of the market." Someone is buying and not telling the IMF.

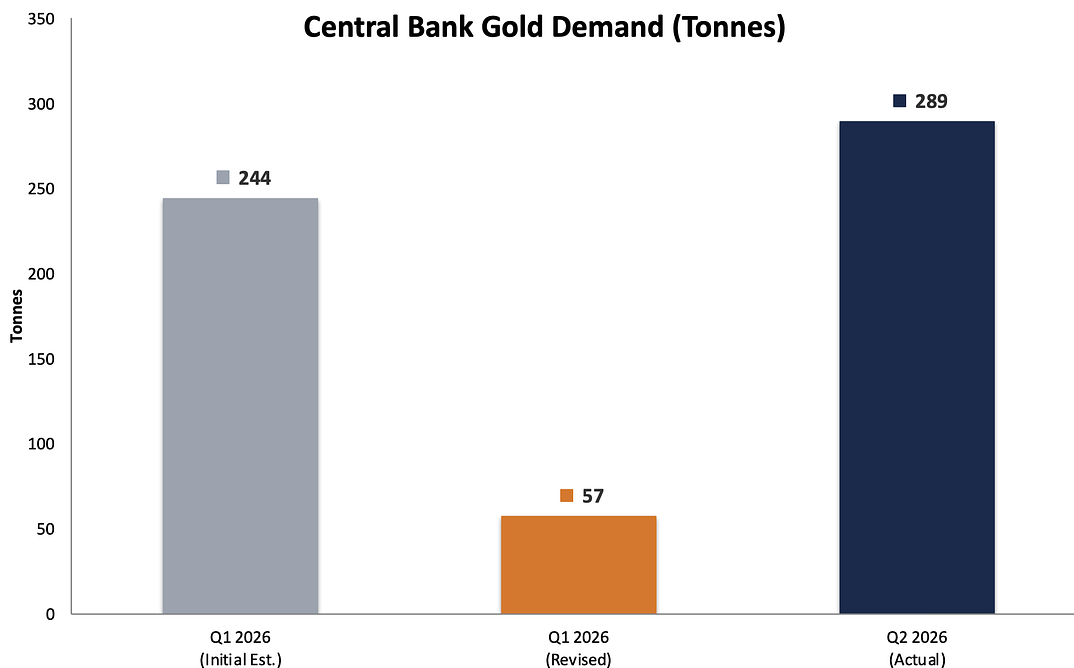


Chart: Central bank gold demand, Q1–Q2 2026. Source: World Gold Council Gold Demand Trends.

The H1 total is 345 tonnes. **That annualizes to 690 tonnes**, which is below the approximately 800-tonne threshold I set as a break condition in my last post. More on that in a moment.

Checking the Break Conditions

In my last post, I pre-registered two specific conditions that would weaken the structural thesis.

1. “If Q2 falls sharply below an 800-tonne annualized pace, the 2025 full-year figure of 863 tonnes moves from a price sensitivity footnote to an actual signal that the post-2022 regime is normalizing.”

This one is closer than I'd like to admit. H1 of 345 tonnes annualizes to 690, below the threshold. But the annualized run-rate from Q2 alone is 1,156 tonnes, well above the post-2022 average of roughly 1,000. If Q3 and Q4 hold near Q2's pace, the full-year number clears 800 comfortably, and the H1 anomaly washes out. On a strict read, H1 triggered it. I'm not calling it yet because the Q1 drag is explained by specific country events, not a broad retreat from accumulation. But if Q3 doesn't hold near Q2's pace, I won't have that out. The Q3 data, when the WGC publishes it, is the hard checkpoint.

2. “If the share of central banks funding purchases by selling other reserve assets rises materially above this year’s 38%, that is the softer signal worth watching.”

Not triggered, and there's no updated survey data yet on this specific metric. But I now have something better than a survey response. I have the actual flows. And they connect to something I didn't see clearly when I wrote the first post.

The Trade That Connects Both Legs of This Thesis

In the twelve months through June 2026, China reduced its U.S. Treasury holdings by \$98 billion. Its position is now at an 18-year low, down nearly half over the past decade.

Over roughly the same period, the People's Bank of China added gold to its reserves every single month.



Chart: China Treasury holdings vs. PBoC gold reserves, 2014–2026. Source: Treasury International Capital (TIC) data; World Gold Council.

The 2026 WGC Central Bank Gold Reserves Survey found that 38% of central banks planning to increase gold holdings said they would fund purchases by selling other reserve assets, typically Treasuries.

This is not two separate stories. It is one portfolio rebalancing, executed simultaneously across two asset classes. The survey told you

the intention. The TIC data and the WGC demand data show you the execution. China is selling Treasuries and buying gold. The numbers are on the table.

China's gold allocation, even after years of buying, is still roughly 8% of total reserves. The U.S. holds over 70% in gold. Germany holds over 70%. France over 70%. The global average for developed-economy central banks is north of 20%. If China is targeting even 15%, and nothing in their behavior suggests they're stopping, **the buying runway is measured in years, not quarters**. At 40 tonnes per half, it's a decade. At a faster pace, it's still years.

That's the buying side: central banks selling Treasuries to fund gold purchases. But what does all that Treasury selling do to the country issuing the bonds? That's the part of the thesis that has changed since June.

Fiscal Dominance Is No Longer Theoretical

When I published the last post, the bond market stress was mostly a U.S. conversation: rates were high, the deficit was large, and the long end was under pressure. Three months later, the pressure has gone global.

Through July 2026, the federal government paid **\$931 billion in interest on the national debt**, ten months into the fiscal year, already on pace to exceed \$1 trillion for the full year. Interest expense is now the third-largest line in the federal budget, behind only Social Security and Medicare. **It has surpassed defense spending**. The CBO projects net interest will total \$16.2 trillion over the next decade, the fastest-growing category in the entire federal budget.

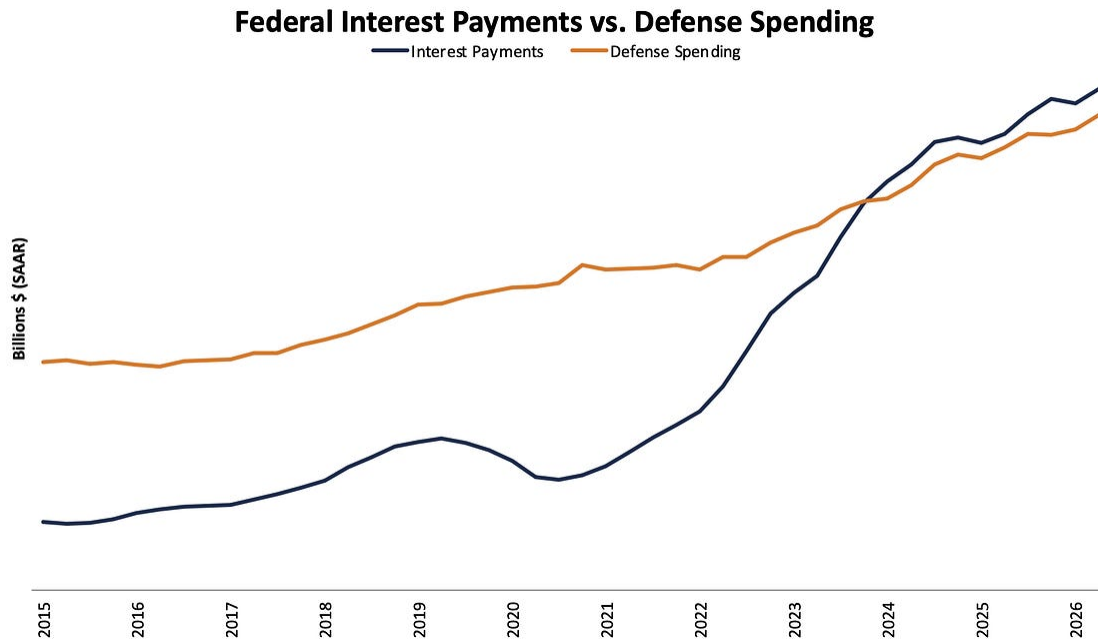


Chart: Federal interest payments vs. defense spending, Q1 2015–Q2 2026.

Source: FRED/BEA.

The deficit through ten months of FY2026 is \$1.8 trillion, running ahead of FY2025's pace, projected to hit \$2 trillion for the full year. The national debt has crossed \$40 trillion, growing at roughly \$7 billion per day.

And this is not just the U.S. I pulled up France's 10-year yield while researching something else entirely. The level didn't register at first: the highest since 2008, and in 2008 the financial system was coming apart. This time the system isn't collapsing. It's just borrowing more than the market wants to fund at these prices. The UK's 30-year gilt reached a level last seen in 1998. Japan's 10-year yield breached 3% for the first time since 1996. The U.S. 30-year touched 5.33% in August before settling around 5.24%.

The transmission mechanism is not complicated, but it is running simultaneously across every major sovereign bond market. The Iran conflict pushed energy prices higher, sticky energy inflation kept central

banks from cutting rates, and defense spending is rising across NATO and beyond, all of which add to bond supply globally. Every major government is issuing more debt at higher yields into a buyer base that is, in several key cases, actively shrinking.

Every basis point on the long end increases the cost of rolling and issuing new debt. Higher yields widen the deficit. Wider deficits require more issuance. More issuance puts more pressure on yields. **The Treasury knows this.**

On August 19, the U.S. Treasury released a one-page press statement:

"The U.S. Department of the Treasury is increasing, by at least double, the size of liquidity support buyback operations for longer-dated nominal coupon securities... The current maximum size of \$2 billion per operation will be at least \$4 billion per operation."

The stated rationale is "liquidity support." The practical effect is yield curve management by the fiscal authority, not the Fed, which can't cut because of inflation, but the Treasury itself, stepping in as a buyer for its own long-dated bonds. Bessent later told reporters the operations could go higher than \$4 billion and that the Treasury has "a big toolkit." The fact that they needed to double the operation size tells you the loop is tightening, not loosening.

Now connect the two sides.

Central banks are selling Treasuries to buy gold. That selling weakens demand for long-end bonds, which pushes yields higher, which increases the fiscal pressure on the U.S. government, and the government responds by stepping in to buy back its own debt. Meanwhile, the fiscal pressure itself reinforces the motivation for central banks to diversify away from dollar-denominated reserves in the first place.

Once you see it, you can't unsee it. The reserve diversification out of dollars (Leg 1) is creating the exact fiscal stress (Leg 2) that makes reserve diversification rational. **Leg 1 feeds Leg 2. Leg 2 validates Leg 1.**

Gold Is Rallying Into Rising Yields

One of the claims I made in June was that the historical relationship between real yields and gold broke in 2022, the year Russia's reserves were frozen, and the marginal buyer shifted from Western financial institutions to central banks. Before 2022, higher real yields reliably predicted lower gold prices. After 2022, that regression stopped working.

Three months later, the break is wider.

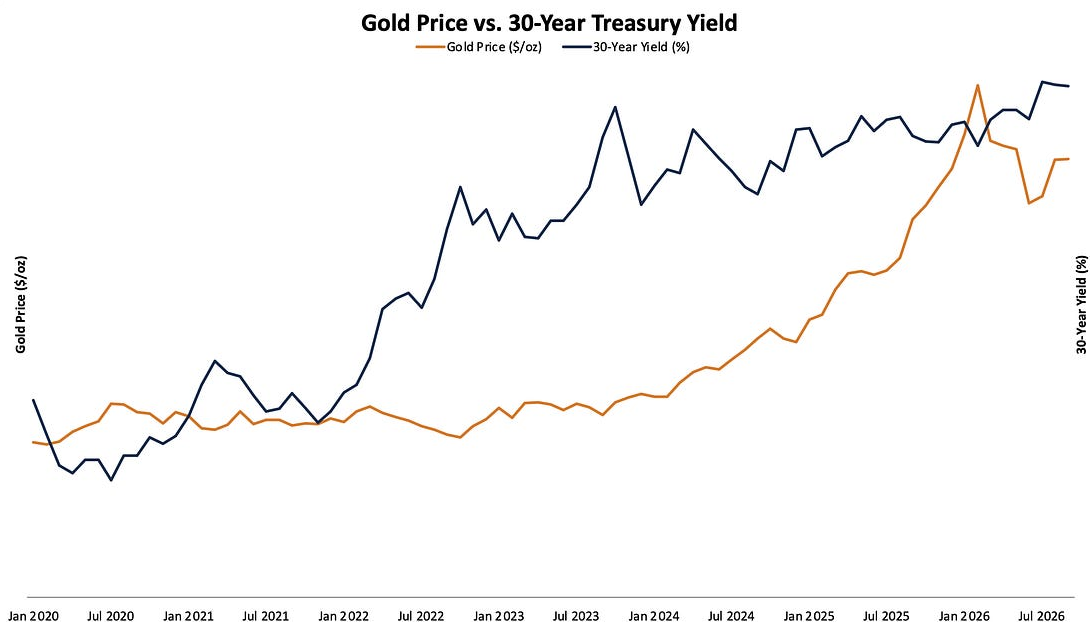


Chart: Gold price vs. 30-year Treasury yield, Jan 2020–Sep 2026. Source: Investing.com; Yahoo Finance.

The 30-year Treasury yield rose from roughly 4.90% in late June to 5.24% in September. Over the same period, gold recovered from \$4,046 to \$4,527, a 12% gain. In the pre-2022 regime, a move like that in yields would have sent gold lower. The model would have predicted it, and the model would have been right, because the marginal buyer was a Western institution trading the opportunity cost of holding a non-yielding asset against a rising risk-free rate.

That buyer sold. North American ETFs posted outflows of 61 tonnes in H1, the weakest first half since 2013. European-listed funds saw minor outflows after the ECB hiked. The price-sensitive buyer did exactly what the model would predict.

And the price went up anyway.

Because there's a third thing happening that doesn't show up in the ETF data. Asian retail, Chinese bar and coin demand specifically, is behaving less like the financial layer and more like the structural one. Global bar and coin demand in H1 was 784 tonnes, one of the strongest first halves on record. China alone accounted for 314 tonnes. Indian demand hit 113 tonnes, the strongest H1 since 2013. OTC buying jumped in Q2 and was, per the WGC, "concentrated among Asian markets."

These buyers aren't trading rates. They're treating gold as savings. The PBoC's visible, month-after-month accumulation may be part of the reason: when your central bank is publicly building a gold position, it shifts the cultural calculus for domestic savers. China's November 2025 VAT reform, which kept investment gold tax-exempt while raising costs on jewelry gold by slashing VAT deductions from 13% to 6%, widened the gap between buying gold as savings and buying gold as adornment. The policy was framed as closing tax loopholes, but the effect is a regulatory framework that channels demand toward investment products.

So the picture is not just two buyer populations anymore. It might be three: the Western financial layer selling on rates, central banks buying on reserve mandates, and Asian retail buying on a savings motive that has more in common with central banks than with hedge funds. The financial layer sold in Q2. The structural layers absorbed it. The price recovered.

What This Framework Does Not Tell You

I do not have a price target for gold.

Gold has no cash flows. You cannot discount future earnings because there are no earnings, and there is no comparable asset to run a multiples comp against. Every price target you have read (\$5,000, \$10,000, pick whatever number sells newsletters) is someone backing into a figure from monetary base ratios or inflation adjustments or M2 growth or some other model that produces precision without accuracy. The number looks exact. The methodology is not.

What this framework does instead is different, and the distinction matters.

The three legs (central bank reserve diversification, fiscal dominance, and the broken real yields relationship) do not tell you where gold trades next week or next year. **They tell you that the structural floor under the price is rising, and they give you specific, falsifiable conditions under which it would stop.**

The floor rises because the marginal buyer is price-insensitive, is operating on multi-year allocation mandates, and has quantifiable reasons to keep accumulating, reasons that are, if anything, strengthening as the fiscal and geopolitical backdrop deteriorates. The spot price above the floor is determined by the financial layer: the ETFs,

the hedge funds, the institutional money trading rates and the dollar. That layer is real. It sold gold 28% in five months without blinking. It is not predictable on any useful time horizon.

But it no longer sets the floor. And the floor is what compounds.

If you are looking for someone to tell you gold is going to a specific number, this is not the post for you. If you are trying to understand the structural forces beneath the price and what would have to break for them to weaken, that is what I am tracking.

What I'm Watching Now

Q3 central bank demand. This is the next hard checkpoint. If Q3 holds near Q2's 289-tonne pace, the full-year number clears 800 tonnes, and the H1 anomaly washes out. If Q3 drops back toward Q1's revised 57-tonne level, the thesis takes genuine damage.

The Treasury buyback at the November Quarterly Refunding. The doubled \$4 billion per operation runs through November 4. What happens next (whether they increase again, extend, or scale back) will tell you how much stress the fiscal authority is seeing at the long end.

The 38% survey metric. If the next WGC survey shows a material rise in the share of central banks funding gold purchases by selling other reserve assets, it means the structural buyer is working harder to fund the same trade. That would be a softer form of price sensitivity creeping into a pool that is supposed to be indifferent to price.

China's TIC trajectory. If the \$98-billion annual reduction in Treasury holdings accelerates while PBoC gold buying continues, the feedback loop between Leg 1 and Leg 2 tightens further.

The Close

Gold fell 28% from January to June on a buyer that has always sold into rate shocks. It recovered 12% from June to September while that same buyer kept selling. The number I built my previous post on was revised down 77%, and I spent the weeks after the revision doing what you're supposed to do: going back to the country-level data, checking whether the structural thesis actually survived the correction or whether I was rationalizing.

It survived. Not because I wanted it to, but because Q2's 289 tonnes, the fiscal arithmetic, and the Treasury's own response showed the underlying forces accelerating. Central banks bought a record quarter into the worst global bond rout in a generation. The U.S. government doubled its long-end buyback program. China's Treasury holdings hit an 18-year low while its gold reserves hit an all-time high.

The financial layer will sell again. It always does. When it does, the central banks buying the dip will be doing it with the proceeds of Treasury sales, sales that weaken demand for U.S. bonds, push yields higher, and widen the deficit that makes holding dollars the riskier bet. The floor under gold is no longer just a buyer with deep pockets and a long horizon. It is a feedback loop, one where the act of diversifying out of dollars creates the fiscal pressure that makes diversifying out of dollars the correct move.

The floor is self-reinforcing now. That's what changed since June.

Disclosure: I hold a position in Wheaton Precious Metals. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: World Gold Council Gold Demand Trends Q2 2026, published July 2026; World Gold Council Central Bank Gold Reserves Survey 2026, published June 2026; U.S. Department of the Treasury press release

sb0607, August 19, 2026; Treasury International Capital (TIC) data, June 2026 release; Peter G. Peterson Foundation National Debt Interest Tracker; Committee for a Responsible Federal Budget deficit tracking, FY2026; Joint Economic Committee national debt report, March 2026; gold futures price data via Investing.com; 30-year U.S. Treasury yield data via Yahoo Finance; both as of September 3, 2026.